SL. No.1

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

Hearing Through: VC and Physical (Hybrid) Mode

CORAM: SHRI. RAJEEV BHARDWAJ, HON'BLE MEMBER (J)
CORAM: SHRI. SANJAY PURI, - HON'BLE MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 24.10.2024 AT 10:30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	**CP (CAA) No.08/230/2024**
NAME OF THE COMPANY	**Veer East Realty India Pvt Ltd (Transferor Co.1) & Hoster Labs Pvt Ltd (Transferor Co.2) & Honour Lab Ltd (Transferee Co. or Demerged Co.) and Anaika Infracon Pvt Ltd (Resulting Co.)**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**230**

ORDER

Orders pronounced, recorded vide separate sheets. In the result, this petition is allowed.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Apoorva

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABADBENCH - II

CP (CAA) No.8/230/HDB/2024
in
CA (CAA) No.62/230/HDB/2023

[Under Sections 230 to 232 r/w the Companies Act, 2013]

In the matter of Composite Scheme of Arrangement of

M/s.Veer East Realty India Private Limited
(Transferor Company-1)

And

M/s. Hoster Labs Private Limited
(Transferor Company-2)

And

M/s. Honour Lab Limited
(Transferee Company or Demerged Company)

And

M/s. Anaika Infracon Private Limited
(Resulting Company)

And

Their Respective Shareholders

M/s. Veer East Realty India Private Limited
Having its registered office at:
Level 7, Octave 3B, Salarpuria, Sattva, Knowledge City,
Plot No.2, Inorbit Mall Road, Raidurg,
Hitech City, Hyderabad,
Telangana – 500081, India,
Represented by its Director, Mr. T. Chandrasekhar

…**the First Petitioner Company/Transferor Company1**

M/s. Hoster Labs Private Limited
Having its registered office at:
H.No.8-3-166/7/1,
Erragadda, Hyderabad,
Telangana – 500018, India,
Represented by its Director, Mr. T. Chandrasekhar

…**the Second Petitioner Company/Transferor Company 2**

M/s. Honour Lab Limited
Having its registered office at:
H.No.8-3-166/7/1, Ground Floor,
Erragadda, Hyderabad,
Telangana – 500018, India,
Represented by its Company Secretary, Mr. Srinivas Vengala

…**the Third Petitioner Company/Transferee Company or Demerged Company**

M/s. Anaika Infracon Private Limited
Having its registered office at:
H.No.8-3-166/7/1,
Erragadda, Hyderabad,
Telangana – 500018, India,
Represented by its Authorised Signatory, Mr. T. Chandrasekhar

…**the Fourth Petitioner Company/Resulting Company**

Date of order: 25.10.2024

CP (CAA) No.8/230/HDB/2024
connected with
CA (CAA) No.62/230/HDB/2023

Date of Order:25.10.2024

CORAM*:*

Sri Rajeev Bhardwaj, Hon'ble Member (Judicial)
Sri Sanjay Puri, Hon'ble Member (Technical)

Counsel/Parties present:

For the Petitioner : Mr. V.B. Raju, Counsel for Petitioners
For Regional Director : Mr. Satish Kumar, Assistant Director
For Official Director : Ms. Anantha Lakhsmi, from the OL office

[PER: BENCH]

ORDER

1. This is a Joint Petition filed by the Transferor Companies and Transferee Company, under Section 232 r/w Section 230 and other applicable provisions of the Companies Act, 2013 praying for the sanction of the Composite Scheme of Arrangement ("**Scheme**") between M/s.Veer East Realty India Private Limited ("**Transferor Company-1"**) and M/s.Hoster Labs Private Limited ("**Transferor Company-2"**), and M/s. Honour Lab Limited ("**Transferee Company or Demerged Company"**), and M/s.Anaika Infracon Private Limited ("**Resulting Company"**), their respective shareholders in terms of the Scheme of Arrangement ("**Scheme**").

2. The Registered Offices of the Transferor Companies and the Transferee Company are situated in the State of Telangana.

3. Briefly, the facts are as follows:

I. First Petitioner/Transferor Company-1

i. The First Petitioner Company was incorporated as a private limited company under the name and style of 'M/s.Amsri Smith Realty Private Limited' on 04.08.2006, thereafter the Company changed its name to 'M/s.Veer East Realty India Private Limited' on 09.06.2010 with CIN: U70102TG2006PTC050812 and is engaged in the business of "*Real Estate*".

(Copy of the Memorandum and Articles of Association of the Transferor Company-1 is filed at Annexure–A1 & A2 at Page Nos.74-99 of the Petition).

ii. The authorized, issued, subscribed and paid-up share capital of the First Petitioner Company as per the last audited balance sheet as on 31st March, 2023is as follows:

Authorized Capital	**Amount (INR)**
1,55,00,002 equity shares, of INR 10 each.	15,50,00,020
Total	**15,50,00,020**
Issued, Subscribed and Paid-up Capital	**Amount (INR)**
1,37,78,295 equity shares, of INR 10 each.	13,77,82,950
Total	**13,77,82,950**

There is no change in the authorized, issued, subscribed and paid-up share capital of the First Petitioner Company.

(Copy of the audited financial statement as on 31.03.2023 of the First Petitioner Company is filed at Annexure – A3, at Page Nos.100-138 of the Petition).

II. Second Petitioner Company/Transferor Company-2

i. The Second Petitioner Company was incorporated as a private limited company under the name and style of 'Hoster Labs Private Limited' on 09.07.2020 with CIN: U24230TG2020PTC141547 and is engaged in the business of manufacture of "*Active Pharmaceutical Ingredients* (*APIs*)".

(Copy of the Memorandum and Articles of Association of the Transferor Company-2 is filed at Annexure – B1 & B2 at Page Nos.139-153 of the Petition).

ii. The authorized, issued, subscribed and paid-up share capital of the Second Petitioner Company as on 31.03.2023 is as under:

Authorized Capital	**Amount (INR)**
50,00,000 equity shares, of INR 10 each.	5,00,00,000
Total	**5,00,00,000**
Issued, Subscribed and Paid-up Capital	**Amount (INR)**
10,10,000 equity shares, of INR 10 each.	1,01,00,000
Total	**1,01,00,000**

There is no change in the authorized, issued, subscribed and paid-up share capital of the Second Petitioner Company.

(Copy of the audited financial statement as on 31.03.2023 of the Second Petitioner Company is filed at Annexure – B3, at Page Nos.154-215 of the Petition).

III. Third Petitioner Company/Transferee Company

i. The Third Petitioner Company was incorporated as a public limited company under the name and style of 'Honour Lab Limited' on 21.11.2011 with CIN: U24233TG2011PLC077561

and is engaged in the business of manufacturing of "*Intermediaries and Active Pharmaceutical Ingredients (APIs) and acquisition of land and building as its ancillary objects*".

(Copy of the Memorandum and Articles of Association of the Transferee Company is filed at Annexure–C1 & C2 at Page Nos.216-269 of the Petition).

ii. The authorized, issued, subscribed and paid-up share capital of the Third Petitioner Company as per the last audited balance sheet as on 31st March, 2023 is as under:

Authorized Capital	**Amount (INR)**
70,00,000 equity shares, of INR 10 each.	7,00,00,000
Total	**7,00,00,000**
Issued, Subscribed and Paid-up Capital	**Amount (INR)**
50,00,000 equity shares, of INR 10 each.	5,00,00,000
Total	**5,00,00,000**

There is no change in the authorized, issued, subscribed and paid-up share capital of the Third Petitioner Company.

(Copy of the audited financial statement as on 31.03.2023 of the Third Petitioner Company is filed at Annexure – C3, at Page Nos.270-341 of the Petition).

IV. Fourth Petitioner Company/Resulting Company

i. The Fourth Petitioner Company was incorporated as a private limited company under the name and style of 'M/s.Anaika Infracon Private Limited' on 05.09.2023 with CIN: U68200TS2023PTC-176807 and is engaged in the business of "*Real Estate*".

(Copy of the Memorandum and Articles of Association of the Resulting Company is filed at Annexure–D1 & D2 at Page Nos.342-370 of the Petition).

iii. The authorized, issued, subscribed and paid-up share capital of the Fourth Petitioner Company as per as on the date of incorporation is as under:

Authorized Capital	**Amount (INR)**
10,000 equity shares, of INR 10 each.	1,00,000
Total	**1,00,000**
Issued, Subscribed and Paid-up Capital	**Amount (INR)**
10,000 equity shares, of INR 10 each fully paid-up.	1,00,000
Total	**1,00,000**

There is no change in the authorized, issued, subscribed and paid-up share capital of the Fourth Petitioner Company.

(Copy of the statement of assets and liabilities of the Fourth Petitioner Company as on 12.09.2023 is filed at Annexure – D3, at Page No.371 of the Petition).

4. RATIONALE FOR THE PROPOSED SCHEME

i. The Composite Scheme of Arrangement is being proposed broadly for the ease of doing businesses by the group companies by amalgamating the Transferor Company 1 and the Transferor Company 2 with Transferee Company and demerging the Real Estate Business Undertaking 2 of the Demerged Company into the Resulting Company. The circumstances that have necessitated or justified the proposed Composite Scheme of Arrangement and its main benefits are, inter alia, summarized as under:

OBJECTIVES/RATIONALE FOR AMALGAMATION UNDER PART-B OF THE SCHEME:

a. To achieve consolidation, greater integration and financial strength and flexibility which will maximize overall shareholders value and improve the competitive position of the combined entity.
b. Result in economies in business operations, provide optimal utilization of resources and greater administrative efficiencies.
c. Increase in operating strength and potential business development shall enable the entities to raise financial resources at better terms and also create new investment opportunities for potential investors and effectively fund organic and inorganic growth opportunities.
d. Simplify the overall group structure.

OBJECTIVES/RATIONALE FOR DEMERGER UNDER PART-C OF THE SCHEME:

a. The demerger will segregate the businesses with different profiles between the legal entities, thereby creating an enhanced value for the shareholders and allowing focused strategy and specialization for sustained growth, which would be in the best interest of the shareholders;
b. The demerger will enable the Resulting Company to explore new opportunities in its business and to further concentrate its resources towards development and management of the Demerged Undertaking;
c. The demerger will enable the Demerged Company to focus on the Remaining Undertaking from a long-term perspective and also provide flexibility to rope in strategic investors for the

Demerged Undertaking and the Remaining Undertaking, which best suit their investment strategies and risk profile; and

d. The demerger will allow the shareholders of the Demerged Company to unlock their value to the extent it relates to the Demerged Undertaking.

OBJECTIVES/RATIONALE FOR AMALGAMATION UNDER PART-B OF THE SCHEME AND SUBSEQUENT DEMERGER UNDER PART-D OF THE SCHEME:

a. The amalgamation of real estate business undertaking under Part-B of the Scheme and subsequent demerger will enable the Demerged Company to focus and emphasize on its core business (viz. business of pharmaceuticals) and do not create any holding in the real estate business.

b. The subsequent demerger shall enable reduction in number of layers for the real estate business undertaking and thereby creating a separate parallel structure to the demerged company and having a vertical split of the core (pharmaceutical business) and the real estate business.

c. The demerger will enable the Demerged Company to focus on the Remaining Undertaking from a long-term perspective and also provide flexibility to rope in strategic investors for the Demerged Undertakings and the Remaining Undertaking, which best suit their investment strategies and risk profile.

The Scheme is in the best interest of the shareholders, Employees and creditors of each of the companies involved in the Scheme.

5. **BOARD RESOLUTIONS:**

The Board of Directors of the Petitioner Companies vide their resolution dated 07.09.2023, approved the Composite Scheme of Arrangement ("**Scheme**") between M/s.Veer East Realty India Private Limited ("**Transferor Company-1"**) and M/s.Hoster Labs Private Limited ("**Transferor Company-2"**), and M/s.Honour Lab Limited ("**Transferee Company or Demerged Company"**), and M/s.AnaikaInfracon Private Limited ("**Resulting Company"**), and their respective shareholders. The appointed dates of Transferor Company-1 is 01.10.2023 and Transferor Company-2 is 01.04.2024.

(Copies of the Board Resolutions of the Petitioner Companies, approving the Composite Scheme of Arrangement (Scheme)are filed at Annexures-E1, E2, E3 and E4at Page Nos.372-410 of the Petition).

6. The salient/material features of the proposed Scheme are detailed **in Page Nos.26 to 55 of the Petition**.

7. The Composite Scheme of Arrangement as approved by the Board of Directors of the First, Second, Third and Fourth Petitioner Companies are filed at **Annexure-F at Page Nos.411-523 of the Petition.**

8. It is submitted that the Applicant Companies complied with all the directions issued in the Order dated 08.12.2023 passed in CA(CAA)No.62/230/HDB/2023, which are detailed in Page Nos.55 to 61 of the Petition.

(Copy of the Order dated is 08.12.2023 is filed at Annexure-I at page Nos.551-576 to the Petition).

9. As per the directions of this Tribunal vide order dated 23.02.2024, the Petitioner Companies issued notices to the Statutory Authorities.

10. Notices were served individually to all the concerned regulatory authorities i.e., Regional Director (SER), Registrar of Companies (RoC), Official Liquidator, Hyderabad, Income Tax Authorities for intimating the Composite Scheme of Arrangement.

11. The Regional Director (South Eastern Region), Ministry of Corporate Affairs, Hyderabad has filed its Report on 13.09.2024 and Additional Affidavit Reply on 04.10.2024 and Reply Affidavit filed on 19.09.2024 and 22.10.2024 by the Petitioners.

12. In response to the observations made by the Regional Director's Report filed on 13.09.2024 and Additional Affidavit Reply on 04.10.2024, the Petitioner Companies have given necessary undertakings and clarifications through their Reply Affidavits which was filed on 19.09.2024 and 22.10.2024. The observations made by the Regional Director and the clarifications and undertakings given by the Petitioner Companies are summarized in the table below:

Page & Para Nos.	**Regional Director's Report filed on 13.09.2024 / observations**	**Reply Affidavit filed on 19.09.2024 by the Petitioner Companies**	**Regional Director's Additional Affidavit Reply filed on 04.10.2024**	**Reply Affidavit filed on 22.10.2024 by the Petitioner Companies**
Page 2 Para 5	This Directorate has received letter No. ROCH/Amal/230-232/2024/ 541 dated 06.06.2024 from the Registrar of Companies, Telangana, Hyderabad pointing out certain observations as under:			

Page 2 Para 5 (a)	As per Clause 2.3 and 2.4 of the Scheme, Appointed Date 1 (Amalgamation) 01.10.2023 and Appointed Date 2 (Demerger)01.04.2024 are the Appointed Dates for the proposed scheme.	There are two Appointed dates viz. Appointed Date 1 (Amalgamation) 01.10.2023 and Appointed Date 2 (Amalgamation and Demerger) 01.04.2024		These are material facts and hence needs no reply.
Page 2 Para 5 (b)	From the Balance Sheet as at 31.03.2023 of M/s. Honour Lab Limited, it is seen that there is an item under the head Equity & Liability, other Equity amounting to Rs.1089.88 crore of which no details provided in the notes.	The amount of Rs.1089.88 Million is pertaining to other equity derived from other comprehensive income and the same is shown under item (b) of the notes to the equity share capital and the same was annexed as Page No.274 in the Company Petition.	The amount of Rs.1089.88 Million is pertaining to other equity derived from other comprehensive income and the same is shown under item (b) of the notes to the equity share capital	These are material facts and hence needs no reply.
Page 2 Para 5 (c)	The total land being transferred as per the schedule of the scheme is 187.31 acres.	The Proposed Composite Scheme of Arrangement involves transfer of land which is the part of Real Estate Undertaking.	The Proposed Composite Scheme of Arrangement involves transfer of land which is the part of Real Estate Undertaking.	These are material facts and hence needs no reply.
Page 3 Para 5 (d)	Hon'ble Tribunal may be pleased to direct the petitioner companies to preserve its books of Accounts and papers and records and shall not be dispose off without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.	The Petitioner Companies undertakes to preserve its books of account and papers and records and shall not be dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.		
Page 3 Para 5 (e)	Hon'ble Tribunal may be pleased to direct the petitioner companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	To ensure the statutory compliance of all applicable laws for the sanctioning of the present scheme and also the Petitioner Companies shall not be absolved of any of its statutory liability in any manner.		
Page	The Transferee Company	The Transferee Company		

3 Para 5 (f)	shall pay the differential fee and stamp duty payable on the increase in Authorized capital after deducting such fees and duties paid by the Transferor Company before the merger.	undertake that it shall pay the differential fee and stamp duty, if any, on the increase of authorised capital after deducting such fees and duties paid by the Transferor Companies before the sanctioning of the Composite Scheme.		
Page 3 Para 5 (g)	Hon'ble Tribunal may be pleased to direct the petitioner companies involved in the scheme to comply with rule 17(2) of "The Companies (Compromise, Arrangement and Amalgamation) Rules 2013 with respect to filing of order for confirmation of scheme to be filed in form No.INC-28 with the Office of RoC by the Petitioner Company.	The petitioner companies will comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules 2013 and undertakes to file the necessary Form of INC-28 with the concerned Registrar of Companies on sanctioning the Composite Scheme of Arrangement by this Hon'ble Tribunal.		
Page 3 Para 5 (h)	The report of the Official Liquidator vide OLR No.25/2024 dated 10.06.2024 has already been filed before the Hon'ble NCLT making some observations which may be considered before considering approval of the Scheme.	The Petitioner/Transferor Companies have complied with the observations pointed out by the Official Liquidator.		
Page 3 Para 6	With reference to this Directorate's letter dated 15.03.2024, issued to The Addl. Commissioner of I. Tax, Hyderabad, till date no reply/comments in the matter has been submitted to this Directorate. Hon'ble Tribunal may be pleased to direct the Petitioner Companies to furnish an undertaking that, if any demand arises from the Income Tax Department with respect to Transferor	The copies of the Company Application and Company Petition were served on the concerned Income Tax Authorities and Company Petition were served on the concerned Income Tax Authorities on 17.01.2024 and 03.04.2024 and they have not filed any objections in regard to the proposed Composite Scheme of Arrangement. Further, the Transferee Company and Resulting Company		

	Companies and Transferee Company, Transferee Company is ready to pay the said dues as per rules.	undertake to discharge any statutory demands raised from the Income Tax Department with respect to the taxes/dues payable by respective the Transferor Companies/Demerged Company.		
Page 3 Para 7	On examination of the contents of the scheme, replies of the petitioner companies and apart from the observations stated in para 5 above, the observation of the Deponent is as under:			
Page 4 Para 7 (a)	As per Clause 6 of Part-B and as per Clause 18 of Part-C of the Scheme, the entire paid-up capital of the Transferor Companies 1 and 2 are held by the Transferee Company and the same shall be cancelled without any further act or deed for cancellation by Transferee Company and no new shares of the Transferee Company shall be allotted against the shares of Transferor Companies 1 and 2.	Both the Transferor Companies are subsidiary companies of the Transferee Company and the entire paid-up capital shall be cancelled without any further act or deed for cancellation.		
Page 4 Para 7 (b)	Transferor Companies 1 and 2 are loss making companies which are merging with Transferee Company, which is a profit making company and hence, income tax implications on account of merger should be complied by the Transferee Company and an undertaking in this regard, shall be furnished by the Transferee Company.	The Transferee Company hereby undertakes to comply with the any income tax implications arising out of the proposed Composite Scheme of Arrangement.		
Page 4 Para 7 (c)	Transferor Company 1 and 2 have related party transactions during the last two years. In this regard, the details of the related parties	All the Petitioner Companies concerned have complied with the provisions of Section 188 of the Companies Act, 2013.	The Petitioner Companies have only stated to have complied with the observations of the	All the Petitioner Companies concerned have complied with the provisions of

	to be furnished by the Transferor Companies 1 and 2 and show the compliance of the provisions of Section 188 of the Companies Act, 2013.		Deponent, but have failed to give any proof thereof. The Hon'ble Tribunal may kindly look into the matter.	Section 188 of the Companies Act, 2013. In this regard, we are furnishing the extracts of Directors Report stating that the compliance under Section 188 has been made as **Annexure-A1 to A4.**
Page 4 Para 7 (d)	The assets and liabilities of demerged company pre-merger and assets and liabilities of demerged company/Transferee Company and resulting company post demerger are not furnished in the Scheme, hence, no inference in these matters may be drawn thereupon. In view of the above, the Hon'ble Tribunal may kindly direct the Petitioner/Transferee Company to give details of assets & liabilities to be transferred to the Resulting Company from the Transferee/Demerged Company with their respective values and details of assets & liabilities to be remained with the Demerged Company on post effect of the Scheme (which should be part of the Scheme) upon which the Deponent will file further report in this matter.	The details of assets and liabilities to be transferred to the Resulting Companies from Demerged Company were submitted with the office of the Regional Director, SER, Hyderabad. However, a copy of the same is annexed to this Affidavit as **Annexure-1.** Further it was submitted by the Counsel for the Petitioner on 04.10.2024 before this Hon'ble Tribunal that assets including the land are forming part of the Real Estate Undertaking which is being transferred or demerged by the Demerged Company to the Resulting Company on going concern basis.	The details of assets and liabilities to be transferred to the Resulting Companies from Demerged Company are furnished. However, on examination of the reply (Annexure-1), it is found that the Petitioner Company has furnished the said reply in Table-2 had submitted its reply which may kindly considered by the Hon'ble Tribunal. On examination of the reply, it is found that the Scheme partakes transfer of Fixed Assets/ Land from the Transferor Companies to the Resulting Company. In view of the above, the Petitioner Companies may be directed by the Hon'ble Tribunal to pay requisite Stamp Duty to the State Exchequer as applicable under Indian Stamp Act, 1899 for transfer of	The details of assets and liabilities to be transferred to the Resulting Companies from Demerged Company as a part of Real Estate Undertaking were submitted with the office of the Regional Director, SER, Hyderabad. However, a copy of the same was annexed to the said Affidavit as **Annexure-1.** Further it is submitted that the assets and liabilities including the land are forming part of the Real Estate Undertaking as defined in the scheme which is being transferred or demerged by the Demerged Company to the Resulting Company on going concern basis. Further the Resulting Company undertakes to pay

			such land through the Scheme since there is no transfer of undertaking involved in the Scheme except of transfer of land.	the necessary Stamp Duty under Article 20(d) of the Indian Stamp Act, 1899, as applicable to the state of Telangana.
Page 4 Para 7 (e)	As seen from the latest Balance Sheet of the Transferor Companies 1 and 2, statutory dues are payable by both the companies. Hence, the Demerged Company and Transferee Company shall furnish undertakings stating that the statutory dues will be settled as and when demand if made by the Statutory Authorities.	The Demerged and Transferee Company hereby undertakes that it will settle all the statutory dues if any raised or demanded by the Statutory Authorities.		
Page 5 Para 7 (f)	As per Clause 7 and 19 of the Scheme, the Authorized Capital of Transferor Companies 1 and 2 will be merged with Transferee Company without any further act, instrument or deed which is not correct. The Transferee Company shall comply with the provisions of section 232(3)(i) of the Companies Act, 2013 and pay the differential fee after setting off the fee already paid by the Transferor Companies 1 and 2.	The Transferee Company hereby undertakes to pay the differential fee after setting off the fee already paid by the Transferor Companies 1 and 2 and accordingly shall comply with the provisions of Section 232(3)(i) of the Companies Act, 2013.		
Page 5 Para 7 (g)	The Scheme partakes two Appointed Date i.e., 01.10.2023 and 01.04.2024 which is not correct since such event date shall be one to give effect of the Scheme of approval by the Hon'ble Tribunal. In view of the above, he para 2.3, 2.4 and 2.7 of the Scheme requires modification by stating one appointed date and one	The Proposed Composite Scheme of Arrangement there are two appointed dates i.e., 01.10.2023 in case of Amalgamation and 01.04.2024 in case of Amalgamation and Demerger. The current business and commercial requirements of the Petitioner Companies require the amalgamation of	The Proposed Composite Scheme Arrangement there are two appointed dates i.e., 01.10.2023 in case of Amalgamation and 01.04.2024 in case of Amalgamation and Demerger. The current business and commercial	The Proposed Composite Scheme Arrangement there are two appointed dates i.e., 01.10.2023 in case of Amalgamation and 01.04.2024 in case of Amalgamation and Demerger. The current business

	clause for effective date. Also the Petitioner/ Transferor Company may be directed to file their statutory Returns for the Financial Year ended on 31.03.2024.	Transferor Company 1 with Transferee Company with effect from 01.10.2023 and the amalgamation of Transferor Company 2 with the Transferee Company and the demerger of Real Estate Business Undertaking 2 of the Demerged Company into Resulting Company with effect from 01.04.2024. Therefore, the Management of the Petitioner Companies have resolved to undertake the transfer the businesses be effective from respective appointed dates. Hence the Petitioner Companies have taken two appointed dates in the proposed Composite Scheme of Arrangement which is approved by the Board of all the Petitioner Companies through the Board Resolution and by the shareholders and creditors of the respective companies. In this regard, we wish to draw your kind attention towards the Composite Scheme of Arrangement between **M/s. Glochem Industries Private Limited (Transferor Company), M/s. Glochem API Private Limited (Resulting Company) and M/s. Priche Generics Private Limited (Transferee Company)** wherein there were two different appointed dates and the same has been approved by the Hon'ble NCLT Bench at Hyderabad. We are herewith attaching the order copy of the Scheme as **Annexure-2.** We also draw reference to the Composite	requirements of the Petitioner Companies requires the amalgamation of Transferor Company 1 with Transferee Company with effect from 01.10.2023 and the amalgamation of Transferor Company 2 with the Transferee Company and the demerger of Real Estate Business Undertaking 2 of the Demerged Company into Resulting Company with effect from 01.04.2024. Therefore, the Management of the Petitioner Companies have resolved to undertake the transfer the businesses be effective from respective appointed dates. Hence the Petitioner Companies have taken two appointed dates in the proposed Composite Scheme of Arrangement which is approved by the Board of all the Petitioner Companies through the Board Resolution and by the shareholders and creditors of the respective companies. In this regard, we wish to draw your kind attention towards the Composite Scheme of Arrangement	and commercial requirements of the Petitioner Companies require the amalgamation of Transferor Company 1 with Transferee Company with effect from 01.10.2023 and the amalgamation of Transferor Company 2 with the Transferee Company and the demerger of Real Estate Business Undertaking 2 of the Demerged Company into Resulting Company with effect from 01.04.2024. Therefore, the Management of the Petitioner Companies have resolved to undertake the transfer the businesses be effective from respective appointed dates. Hence the Petitioner Companies have taken two appointed dates in the proposed Composite Scheme of Arrangement which is approved by the Board of all the Petitioner Companies through the Board

		Scheme of Arrangement between **M/s. Sundaram Clayton Limited (Transferee Company or Demerged Company), M/s. TVS Holdings Private Limited (Transferor Company 1), M/s. VS Investments Private Limited (Transferor Company 2) and M/s. Sundaram Clayton DCD Limited (Resulting Company)** wherein the Hon'ble NCLT, Chennai Bench has approved the Scheme with four different appointed dates. We are herewith attaching the order copy of the same as **Annexure-3** for your kind consideration. Further it is submitted that the Petitioner Companies shall file necessary statutory returns for the financial year ending 31.03.2024 with the statutory authorities.	between M/s. Glochem Industries Private Limited (Transferor Company), M/s. Glochem API Private Limited (Resulting Company) and M/s. Priche Generics Private Limited (Transferee Company) wherein there were two different appointed dates and the same has been approved by the Hon'ble NCLT Bench at Hyderabad. We also draw reference to the Composite Scheme of Arrangement between M/s. Sundaram Clayton Limited (Transferee Company or Demerged Company), M/s. TVS Holdings Private Limited (Transferor Company 1), M/s. VS Investments Private Limited (Transferor Company 2) and M/s. Sundaram Clayton DCD Limited (Resulting Company) wherein the Hon'ble NCLT, Chennai Bench has approved the Scheme with four different appointed dates. Further it is submitted that the Petitioner Companies shall file necessary statutory returns for the financial year	Resolution and by the shareholders and creditors. The issue of having two or more appointed dates were discussed and approved by this Hon'ble NCLT Benches, Hyderabad Chennai. (Copies were filed along with our first reply page nos.18-52). Hence there is no question of modifying the scheme which was approved by the all the shareholders and creditors of the respective companies. Further it is submitted that the Petitioner Companies shall file necessary statutory returns for the financial year ending 31.03.2024 with the statutory authorities.

			ending 31.03.2024 with the statutory authorities. The above reply/ justification given by the Petitioner Companies are not convincing since for one petition and for one scheme there is no provision to adopt of two Appointed Date under Section 230/232 of the Act, also in a Financial Year there shall not be two AGM to adopt the two financial statements to be drawn due to two Appointed Date and are to be laid before the shareholders in AGM adoption. The Hon'ble Tribunal may kindly direct the Petitioner Companies to modify the Scheme by stating one Appointed Date only.	
Page 5 Para 7 (h)	Para 15 of Part "B" and Para 27 of Part "C" speaks about deposit of Cheques/Negotiable Instruments drawn in the name of the Transferor Company in the Bank Account of the Transferee Company after Effective Date of the Scheme is not correct, since after approval of the Scheme by the Hon'ble Tribunal and also after giving effect of the Scheme, the Corporate Life of the Transferor Companies will come to end (being dissolved without winding	As per Para No.15 of Part B and Para 27 of Part C speaks about deposit of cheques/ Negotiable Instruments drawn in the name of Transferor Company in the bank account of Transferee Company as the effective date are effectiveness of the scheme shall be only upon on or after 01.04.2024 i.e., upon filing of the orders passed by this Hon'ble Tribunal after sanctioning the proposed Composite Scheme of Arrangement.	As per Para No.15 of part B and para 27 of Part C speaks about deposit of cheques/ Negotiable Instruments drawn in the name of Transferor Company in the bank account of Transferee Company as the effective date are effectiveness of the scheme shall be only upon on or after 01.04.2024 i.e. upon filing of the orders passed by this	Para No.15 of Part B speaks about deposit of cheques/Negotiable Instruments drawn in the name of Transferor Company 1 in the bank account of Transferee Company with appointed dated 01.10.2023 and Para NO.27 of Part C speaks about deposit of cheques/Negotiable Instruments drawn

	up) hence, both the above paras requires to be deleted from the Scheme.		Hon'ble Tribunal after sanctioning the proposed Composite Scheme of Arrangement. In view of the above, the Hon'ble Tribunal may direct the Petitioner Companies to operate the Bank Accounts of the Transferor Companies upto Effective Date of the Scheme only by making suitable modification in the Scheme.	in the name of Transferor Company 2 in the bank account of Transferee Company with appointed date 01.04.2024. as the effective date and effectiveness of the scheme shall be only upon on or after 01.04.2024 i.e., upon filing of the orders passed by this Hon'ble Tribunal after sanctioning the proposed Composite Scheme of Arrangement and hence there is no need to modify the scheme as approved by approved by the all the shareholders and creditors of the respective companies. From the respective Appointed dates, the transferee company can encash such negotiable instruments.
Page 5 Para 7 (i)	In the Balance Sheet as at 31.03.2023, the Transferor Company 2 i.e., Honor Labs Limited, under "Other Equity" Rs.1089.88 crores has been shown which details are not given therein which is not in compliance of the Provisions of Section 129 of the Act and the said amount is having material impact upon the Scheme. In	Amount of Rs.1089.88 Million is pertaining to other equity it is derived from other comprehensive income and the same is shown under item b of the notes to the equity share capital and the same was annexed as Page No.274 in the Company Petition. Further the Petitioner Company namely Honor Labs Limited had	The Petitioner Company stated that the amount of Rs.1089.88 Million is pertaining to other equity it is derived from other comprehensive income and the same is shown under item b of the notes to the equity share capital	Amount of Rs.1089.88 Million is pertaining to other equity it is derived from other comprehensive income and the same is shown under item b of the notes to the equity share capital and the same was

	view of the above, the Hon'ble Tribunal may kindly direct the Petitioner Company to furnish details of such transactions with clarification of compliance of Section 129 read with Schedule-III of the Act in this regard.	complied with section 129 read with Schedule-III of the Companies Act, 2013.	and the same was annexed as Page No.274 in the Company Petition. Further the Petitioner Company namely Honor Labs Limited had complied with section 129 read with Schedule-III of the Companies Act, 2013. The reply of the Petitioner Companies may kindly be looked into by the Hon'ble Tribunal and necessary directions may be issued in this regard.	annexed as Page No.274 in the Company Petition. Further the Petitioner Company namely Honor Labs Limited had complied with section 129 read with Schedule-III of the Companies Act, 2013.
Page 6 Para 7 (j)	Para 37 of the Scheme of Amalgamation/Arrangement speaks about Accounting Treatment of Assets & Liabilities in the books of Demerged Company on post-arrangement and therein states that the company will follow the provisions of IND AS-103 in this regard. However, there is provisions under IND AS-103 for Accounting Treatment of Assets & Liabilities in the books of Demerged Company on post-arrangement. In view of the above, the Hon'ble Tribunal may kindly direct the Petitioner Companies to state details of Accounting Treatment in the books of the Demerged Company on post arrangement by ordering amendment of the Scheme.	The Petitioner/Demerged Company hereby undertakes that it shall follow the necessary Accounting Standards as framed by the Central Government from time to time.	The Petitioner Companies have undertaken to comply with necessary Accounting Standard which is not correct since in case of Demerger there is no specific Accounting Standard to deal with the Accounting Treatment of Assets & Liabilities in the books of the Demerged Company on Post Arrangement, thereby the Scheme should specifically drawn by furnishing details thereof which has not been complied by the Petitioner Companies may be directed by the Hon'ble Tribunal to furnish such details in the Scheme by undertaking	As stated in Para No.24 of the Scheme, the accounting for the amalgamation would be done in accordance with IND AS 103-Business Combination notified under Section 133 of the Companie Act and other generally accepted accounting principles in India ("IGAAP"). As per para No.37 the accounting treatment of the Demerger of Real Estate Business Undertaking 2 of Demerged Company in the books of Demerged Company and

			modification in the Scheme.	Resulting Company shall be in compliance with Section 133 of the Companies Act and other generally accepted accounting principles in India ("IGAAP").

Hence, from the above report of the RD, it can be understood that there are no tenable objections raised and that the queries posed to the companies were also answered. Hence, the direction as sought for by the Regional Director (RD) would stand complied.

13. The Official Liquidator (OL) made certain observations in his report filed on 10.06.2024. In response, the petitioner companies filed their reply affidavit on 13.06.2024. The observations made by the Official Liquidator and the undertakings given by the Petitioner Companies are summarized in the table below:

Page and Para Nos.	**Observations of the Official Liquidator report filed on 10.06.2024**	**Reply Affidavit to the report of the official liquidator filed by petitioner companies on 13.06.2024**
Page 8 Para 22 (a)	That, in the present Composite Scheme of Arrangement there are four (4) companies are involved. Out of which, two (2) Transferor Companies (M/s.Veer East Realty India Private Limited & M/s.Hoster Labs Private Limited) are merging with Transferee Company (M/s.Honour Lab Limited) and further part of business of Transferee/ Demerged Company (M/s.Honour Lab Limited) is transferred to the Resulting Company (M/s.AnaikaInfracon Private Limited). Hence, the Official Liquidator is submitting the observations only with regard to the Transferor Companies, where the	These are material facts about the Petitioner Companies in the Composite Scheme of Arrangement.

	companies are dissolved without going through the process of winding up.	
Page 9 Para 22 (b)	That, as per the information provided by the Transferor Companies viz., M/S.VEER EAST REALTY INDIA PRIVATE LIMITED (Transferor Company 1) and M/S.HOSTER LABS PRIVATE LIMITED (Transferor Company 2) are wholly owned subsidiary companies of the Transferee Company viz., M/S.HONOUR LAB LIMITED. Further, as per the Clause 6 of Part-B as well as Clause 18 of Part-C of the Scheme, the entire issued, subscribed and paid-up share capital of the Transferor Companies 1 & 2 respectively are held by the Transferee Company & its nominees and it shall be deemed to be cancelled without any further act or deed for cancellation thereof by Transferee Company and shall cease to be in existence accordingly. Further, upon the Scheme becoming effective, no new shares of the Transferee Company shall be allotted in lieu or exchange of the holding in the Transferor Companies 1 & 2.	These are material facts about the Petitioner Companies in the Composite Scheme of Arrangement.
Page 9 Para 22 (c)	That, the Clause 8 of Part-B as well as Clause 20 of Part-C of the Scheme seeks to protect all staff, workmen and employees of Transferor Companies 1 & 2 respectively who are in service at the end of the Transition Period shall be deemed to have become the staff, workmen and employees of the Transferee Company. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking to this Hon'ble Tribunal to the Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on the Appointed Date(s) (i.e., 01.10.2023 for Transferor Company 1 & 01.04.2024 for Transferor Company 2) as well.	Employees/workmen of the Transferor Companies shall become employees of the Transferee Company and they shall not be any retrenchment with respect to the any employees who were in service as on appointed dates i.e., 01.10.2023 and 01.04.2024.
Page 9 Para 22 (d)	That, the Clause 12 of Part-B as well as Clause 24 of Part-C of the Scheme has provides for Accounting Treatment(s) of Transferor Company 1 & 2 respectively. However, in the said clauses, the specific accounting treatment/ method that has to be	The Petitioner Companies undertake to follow accounting treatment in accordance with IND AS-103 Business Combinations as notified under Section 133 of the Companies

	followed upon the sanction of the Scheme is not mentioned. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to specify the accounting treatment/ method that has to follow upon the sanction of the Scheme.	Act, 2013 and other generally accepted accounting principles in India as applicable.
Page 9 Para 22 (e)	That, as per Clause 16 of Part-B as well as Clause 28 of Part-C of the Scheme, the Transferor Companies 1 & 2 respectively shall stand dissolved without going through the process of winding up and without further acts and deeds by parties on such terms and conditions as this Hon'ble Tribunal may direct or determine.	Both the Transferor Companies 1 and 2 shall stand dissolved without going through the process of winding up.
Page 9 Para 22 (f)	That, as per Note-8 of provisional financials of Transferor Company 1 as at 31.03.2024, an amount of Rs.1,768.44 lakhs as at 31.03.2024 and Rs.623.44 lakhs as at 31.03.2023 has been shown as "Unsecured – From related parties" under the head of "Borrowings (non-current)". In this regard, the Transferor Company 1 vide letter dated 03.06.2024 (received by the Official Liquidator) through mail on 05.06.2024) stated that the unsecured loan is taken from the Holding company namely Honour Lab Ltd., in such tranches from FY:2020-21 to 2023-24 at 9% rate of interest and the said loan amount is repayable with interest at the end of 10th year from the date of disbursement. The company has further stated that the said loan is taken for the purpose of day to day operations of the company.	These are material facts pertaining to respective Petitioner Companies.
Page 10 Para 22 (g)	That, as per Note-9 of provisional financials of Transferor Company 1 as at 31.03.2024, an amount of Rs.202.16 lakhs as at 31.03.2024 and Rs.103.71 lakhs as at 31.03.2023 has been shown as "Interest accrued but not due on borrowings" under the head of "Other financial liabilities (Non-current)". In this regard, the Transferor Company 1 vide letter dated 03.06.2024 (received by the Official Liquidator through mail on 05.06.2024) stated that the interest accrued but not due on borrowings is relating to the unsecured loan taken from the Honour Lab Ltd. (Holding Company) as at 31 March 2024.	These are material facts pertaining to respective Petitioner Companies.
Page 10	That, as per Note-11 of provisional financials of Transferor Company 1 as at 31.03.2024, an	These are material facts pertaining to respective

Para 22 (h)	amount of Rs.11.09 lakhs has been shown as "Statutory dues" under the head of "Other current liabilities". In this regard, the Transferor Company 1 vide letter dated 03.06.2024 (received by the Official Liquidator through mail on 05.06.2024) stated that the statutory dues pertains to the TDS payable as at 31 March 2024 and the same shall paid at the time of filing of return of income for FY 2023-24.	Petitioner Companies.
Page 10 Para 22 (i)	That, as per Note-13 of provisional financials of Transferor Company 1as at 31.03.2024, an amount of Rs.109.39 lakhs as at 31.03.2024 and Rs.56.11 lakhs as at 31.03.2023 has been shown as "Interest on unsecured loan from related parties" under the head of "Financial costs". In this regard, the Transferor Company 1 vide letter dated 03.06.2024 (received by the Official Liquidator through mail on 05.06.2024) stated that the Financial cost is the interest expense incurred on the unsecured loan taken from Honour Lab Ltd. (Holding company) in the financial years 2022-23 and 2023-24 and the loan has been taken to meet the working capital requirements of the Company.	These are material facts pertaining to respective Petitioner Companies.
Page 10 Para 22 (j)	That, as per Note-13 of provisional financials of Transferor Company 2as at 31.03.2024, an amount of Rs.1,637.66 lakhs as at 31.03.2024 and Rs.1,711.73 lakhs as at 31.03.2023 has been shown as "Balances with Statutory Government Authorities" under the head of "Other Current assets". In this regard, the Transferor Company 2 vide letter dated 03.06.2024 (received by the Official Liquidator through mail on 05.06.2024) stated that the total balances with "Statutory/ Government authorities" is the amount of GST receivable (ITC available).	These are material facts pertaining to respective Petitioner Companies.
Page 11Para 22 (k)	That, as per Note-15 of provisional financials of Transferor Company 2as at 31.03.2024, an amount of Rs.18,048.23 lakhs as at 31.03.2024 and Rs.10,917.48 lakhs as at 31.03.2023 has been shown as "Unsecured – From Holding Company" under the head of "Borrowings (non-current)". In this regard, the Transferor Company 2 vide letter dated 03.06.2024 (received by the Official	These are material facts pertaining to respective Petitioner Companies.

	Liquidator through mail on 05.06.2024) stated that the Unsecured loan was taken from the Holding Company, namely Honour Lab Ltd., at the interest rate of 8% at different dates during the financial years 2020-21 to 2023-24 and the said loan along with interest is repayable within a period of 60 months from the date of first disbursement. The company has further stated that the loan was taken for the day to day operations of the company as there is no working capital sanctioned to the company.	
Page 11 Para 22 (l)	That, as per Note-17 of provisional financials of Transferor Company 2 as at 31.03.2024, an amount of Rs.2,907.77 lakhs as at 31.03.2024 and Rs.1,513.51 lakhs as at 31.03.2023 has been shown as "ICD interest payable & Capital Creditors" under the head of "Other financial liabilities (Non-current)". In this regard, the Transferor Company 2 vide letter dated 03.06.2024 (received by the Official Liquidator through mail on 05.06.2024) stated that the interest payable is the interest calculated on ICD Loan taken from the Holding Company, namely Honour Lab Ltd.	These are material facts pertaining to respective Petitioner Companies.
Page 11 Para 22 (m)	That, the Transferor Companies 1 & 2 are loss making companies getting merged with profit making Transferee Company as per the Financial Statements of the companies as at 31.03.2023. Hence, the Income Tax implications due to merger needs to be complied by the Transferee Company.	The Transferor Companies 1 and 2 are merging with the Transferee Company and the Petitioner Companies shall comply with the conditions relating to carry forward of accumulated losses and unabsorbed depreciation as per the provisions of Income-tax Act, 1961. Further the Petitioner Companies have also issued notice to the Income Tax Department with regard to the proposed Scheme on 19.12.2023 and 11.03.2024. However, the Petitioner Companies did not received any objection from the Income Tax Department till today to the proposed Composite Scheme of Arrangement.

The Official Liquidator (OL) accepted the submissions made by the Petitioners and did not raise any objections for accepting the Scheme of Arrangement of the Petitioner Companies.

14. **ACCOUNTING TREATMENT CERTIFICATE:**

A copy of the Certificate issued by M/s. M.V. Narayana Reddy & Co, Chartered Accountants, the statutory auditor of the Petitioner Companies in relation to the proposed accounting treatment specified in Clause 12, 24 and 37 of the Draft Scheme is in conformity with the applicable Accounting Standards prescribed under section 133 of the Companies Act, 2013 read with Rules made thereunder, and other Generally Accepted Accounting Principles, as applicable.

(A copy of the certificate issued by the statutory auditor and chartered Account of the Petitioner Companies are filed as Annexure-G1 to G4 at Page Nos.524-535 of the Petition).

15. **VALUATION CERTIFICATE:**

A copy of the valuation certificate issued by Mr. Harpreet Singh, obtained from the Registered valuer for determining the share exchange ratio in relation to the Scheme is filed as **Annexure-H at Page Nos.536-550 of the Petition**.

16. Copy of the Chairman's Report of the meeting of the Secured Creditors and Unsecured Creditors are filed as **Annexure-J and K at Page Nos.577-601 of the Petition.**

17. **CONSIDERATION:**

The entire issued, subscribed and paid-up share capital of the Transferor Companies 1 & 2 are directly held by the Transferee Company. Upon the Scheme becoming effective, no new shares

of the Transferee Company shall be allotted in lieu or exchange of the holding in the Transferor Companies 1 & 2 and investment in the share capital of Transferor Companies 1 & 2, as on the Effective Date shall stand cancelled in the books of Transferee Company, Upon the coming into effect of this Scheme, the share certificates, if any, and/ or the shares in electronic form representing the shares held by Transferee Company, and its nominees, in the Transferor Company 1 shall be deemed to be cancelled without any further act or deed for cancellation thereof by Transferee Company and shall cease to be in existence accordingly.

In case of transfer and vesting of Real Estate business undertaking 2 of Demerged Company into the Resulting Company pursuant to the Scheme. Resulting Company shall without any further application, act, instrument or deed, issue and allot equity shares credited as fully paid up, to the extent indicted below to the members of the Demerged Company holding fully paid equity shares of Demerged Company and whose names appear in the register of members of the Demerged Company as on the Record Date or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the Board of directors of the Resulting Company in the following proportion:
671 (Six hundred Seventy One) fully paid-up equity shares of INR 10 (Rupees Ten only) of the Resulting Company for every 37 (Thirty Seven) equity shares of INR 10 (Rupees Ten Only) each held on the Record Date by the equity shareholders in the Demerged Company.

18. We have heard the Learned Counsel for the Petitioner Companies and perused the material papers on record. Further the shareholders and creditors of the respective Petitioner Companies have approved the said Composite Scheme of Arrangement in question. Moreover, the Petitioner Companies are closely held unlisted Companies and are held by the common shareholders. Considering the entire facts and circumstances of the case and on perusal of the Scheme, Report of the Regional Director, reply/undertaking of the Petitioner Companies thereon, report of the Official Liquidator, and the documents produced on record, we consider the Composite Scheme of Arrangement to be Amalgamation of Transferor Companies with the Transferee Company and demerger of the Real Estate Undertaking of the Demerged Company into the Resulting Company and is fair and reasonable and not contrary to public policy and not violative of any provisions of law as decided by the Apex Court in the matter of *Miheer H.Mafatlal Vs.Mafatlal Industries Limited*. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013.

ORDER

19. After hearing the Learned Counsel for the Petitioner Companies and after considering the material on record, the following order is passed:

i. The Composite Scheme of Arrangement, viz Amalgamation of Transferor Companies with the Transferee Company and demerger of the Real Estate Undertaking of the Demerged Company into the Resulting Company which is filed at Annexure-F at Page Nos.411-523 of the petition is hereby sanctioned and

confirmed with appointed dates viz. 01.10.2023 and 01.04.2024 and shall be binding on all the members, employees, creditors, concerned statutory, regulatory authorities and all other stakeholders of the Petitioner Companies.

ii. While approving the Scheme, we make it clear that this order should not be construed as an order in anyway granting exemption from payment of stamp duty, taxes or any other charges, if any, payable, in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

iii. (a) The whole of the assets (moveable and immovable), property, rights and Liabilities of the Transferor Companies shall be transferred without the requirement of any further act or deed to the Petitioner/Transferee Company.

(b) The whole of the business, assets (whether moveable or immovable), property, rights and liabilities of the Real Estate Business Undertaking of the Demerged Company shall be transferred without the requirement of any further act or deed to the Resulting Company.

iv. We direct the Petitioner companies to comply with compliances pointed out by the Regional Director and Official Liquidator, if any.

v. We direct the Petitioner Companies to preserve the books of accounts and papers and records and the same shall not be disposed of without the prior permission of the Central

Government in terms of the provisions of Section 239 of the Companies Act, 2013.

vi. We direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme, the Petitioner Companies shall not be absolved from any of its statutory liabilities, in any manner.

vii. We direct the Petitioner Companies involved in the Scheme, to comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013. The Petitioner Companies within 30 days after the date of receipt of certified copy of the order, shall cause certified copy to be delivered in the Form INC-28 to the Registrar of Companies concerned for registration and on such certified copy being delivered, Registrar of Companies concerned shall take all necessary consequential action in respect of the Petitioner Companies.

viii. The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Regional Director (SER), MCA, Government of India, Hyderabad and Official Liquidator, Hyderabad.

ix. All the legal proceedings pending by/or against the Transferor Companies shall be continued by/or against the Transferee Company.

x. The tax implications, if any, arising out of the Scheme shall be as per the applicable Tax Laws and the same shall be binding on the Petitioner Companies.

xi. The Transferee Company is directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

xii. The sanction of the Scheme by this Tribunal shall not forbid the Revenue Authority from taking appropriate recourse for recovering the existing and previous tax liabilities of the Transferor and Transferee Companies.

xiii. We direct the Transferee Company to comply with the provisions of Section 2(41) of the Companies Act, 2013, if applicable.

xiv. The Transferor Companies 1 & 2 shall be dissolved without going through the process of winding up.

xv. The Petitioner Companies shall until the completion of the Composite Scheme of Arrangement, file a statement in such form and within such time as prescribed with the Registrar every year duly certified by the Chartered Accountant or a Cost Accountant or a Company Secretary to the effect that the Scheme of Arrangement is being complied in accordance with the orders of this Tribunal as required under Section 232(7) of the Companies Act, 2013.

xvi. All concerned shall act on a copy of this order along with Scheme duly authenticated by the Deputy/Assistant Registrar of this Tribunal.

xvii. Any person shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

xviii. Accordingly, the Company Petition bearing CP(CAA) No. 8/230/HDB/2024 is allowed and stands disposed of.

Sd/-

SANJAY PURI
MEMBER (TECHNICAL)

Sd/-

RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Apoorva